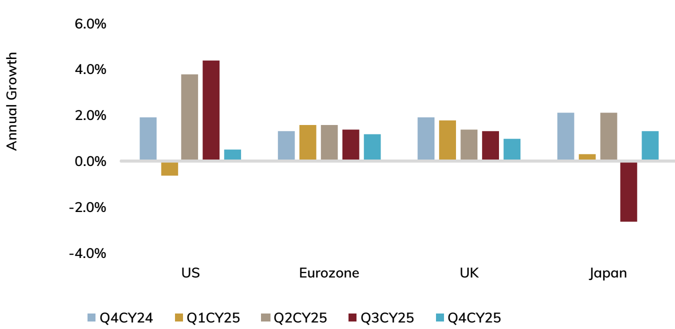
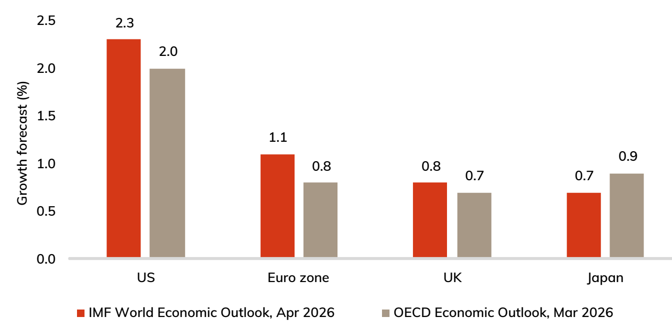
ECONOMIC OVERVIEW

Global Economic Growth

Growth trajectory in developed economies



Growth projections for 2026

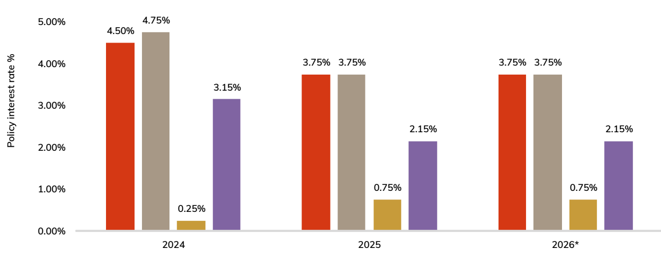


Source: Crisil Intelligence, International Monetary Fund, Organisation for Economic Cooperation and Development

- US economy expanded at an annualised 0.5% in Q4CY25, compared with 4.4% in Q3CY25
- Eurozone economy grew 1.2% on-year in Q4CY25 against 1.4% in Q3CY25.
- UK economy expanded 1.0% on-year in Q4CY25 vs a 1.3% rise in Q3CY25
- Japanese economy advanced at an annualised 1.3% in Q4CY25, compared to 2.6% contraction in Q3CY25

Source: Crisil Intelligence. GDP: Gross domestic product, US: United States, UK: United Kingdom, CY: Calendar Year

Global Central Bank Highlights

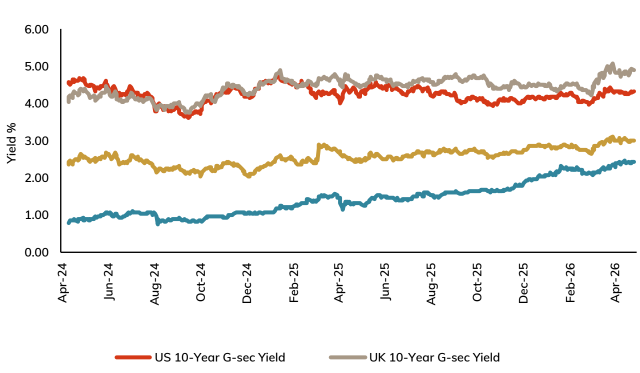


*Data as on April 28, 2026. Source: Crisil Intelligence

- Fed maintained its overnight lending rate at 3.50-3.75% in its Apr-26 meeting.
- ECB kept interest rates unchanged at 2.15%, at its Apr-26 meeting, reaffirming its commitment to stabilising inflation at 2% in the medium term
- BoE unanimously voted to keep the bank rate at 3.75% in Apr-26 since West-Asia conflict has caused sharp rise in energy prices, pushing up household fuel and utility costs and raising business expenses
- BoJ left key short-term rate unchanged at 0.75% in Apr-26, highest borrowing costs since Sep-95
- PBoC maintained its key lending rates at record lows for the 11th month in Apr-26. One-year LPR stayed at 3%. Five-year LPR was held at 3.5%.

Sources: Crisil Intelligence. LPR: loan prime rate, Fed: Federal Reserve, US: United States, ECB: European Central Bank, BoJ: Bank of Japan, PBoC: People's Bank of China

Global Bond Yields



* Data as on April 27, 2026. Source: Crisil Intelligence

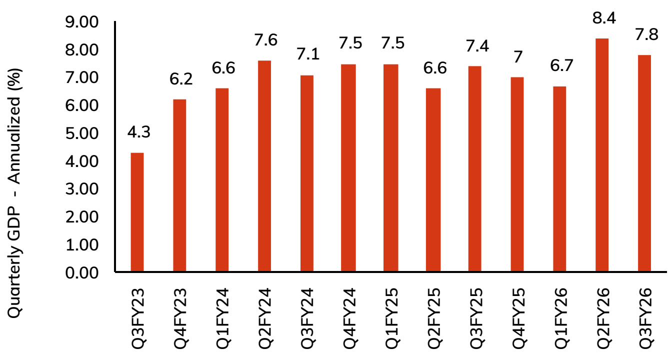
- The US 10-year benchmark yield stood at 4.39% in Apr-26, higher than 4.30% in Mar-26, reflecting largely range-bound movement during the month.
- In early Apr-26, yields edged higher, tracking a rise in global crude oil prices that were trading at $100–107 per barrel amid the escalating tension in the Middle East and the disruptions in the Strait of Hormuz, which heightened inflation concerns that weighed on market sentiment.
- In mid-April, yields stabilized as markets awaited the Federal Reserve's upcoming policy decision. The Fed's cautious stance highlighted ongoing inflation risks, especially from high energy prices. It reinforced a higher-for-longer rate outlook, which limited any sharp decline in yields.
- During month end, yields remained range-bound at 4.28%–4.39%, as continued geopolitical uncertainty and elevated oil prices kept investors cautious, limiting any sharp decline in yields.
- Overall, the marginal uptick in yields during the month was primarily driven by geopolitical tensions and elevated crude oil prices, which kept bond markets cautious despite stable domestic conditions.

Source: Crisil Intelligence, US government

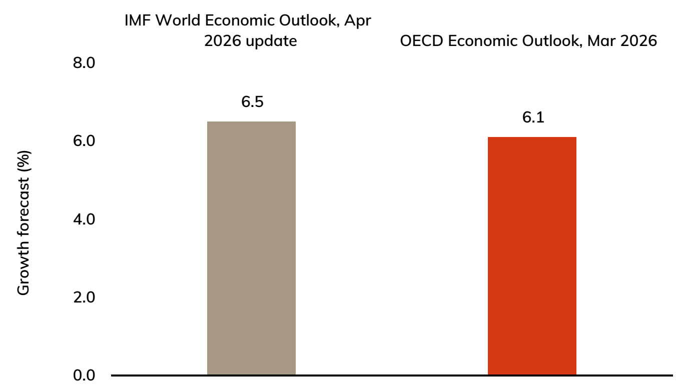
ECONOMIC OVERVIEW

India's GDP growth

On-quarter GDP growth trend



GDP growth projections for 2026



Source: Ministry of Statistics and Programme Implementation (MoSPI), IMF, OECD

- Indian GDP grew 7.8% on-year in Q3FY26, compared with an upwardly revised 8.4% in Q2FY26
- In terms of gross value added (GVA), the economy grew 7.8% vs 8.6%.

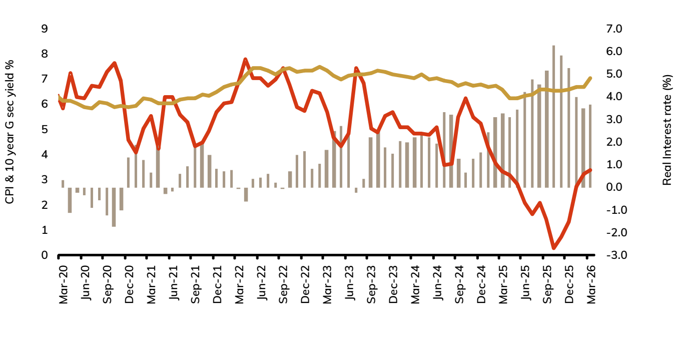
Industry	Q3FY26 Growth %	Q2FY26 Growth %
Agriculture, Forestry & Fishing	1.4	2.3
Mining & Quarrying	4.7	6.1
Manufacturing	13.3	13.2
Electricity, Gas, Water Supply & Other Utility Service	1.5	3.9
Construction	6.6	8.7
Trade, Hotels, Transport, Communication & Services related to Broadcasting	11.0	10.4
Financial, Real Estate & Professional Services	11.2	9.9
Public Administration, Defense & Other Services	4.5	6.9

- Indian GDP, which expanded 7.1% on-year in FY25, to expand at 7.6% in FY26. Growth will be supported by healthy private consumption and central government capex thrust. Some moderation in consumption growth is expected towards the latter part a FY27, as the benefit of GST rationalisation fade. However, prolonged uncertainly in the West Asia could increase input shortages and costs and impact exports, tamping our growth forecast. The risks to growth are, therefore, tilted to the downside.
- Inflation is set to rise as food inflation normalises from its current lows. While higher crude oil prices would impact headline inflation, a lower gold inflation rate (on account of a high base) should result in some moderation in core inflation.

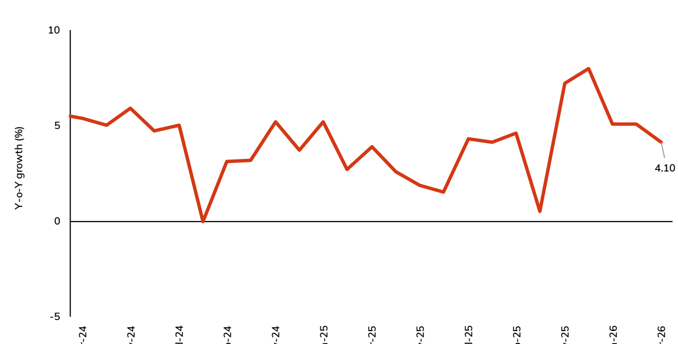
Source: Crisil Intelligence, *National Statistical Office second advance estimate, GST: Goods & Services Tax, RBI: Reserve Bank of India

Other Major Indicators

Inflation based on the CPI rose to 3.40% on-year in Mar-26 from 3.21% in Feb-26

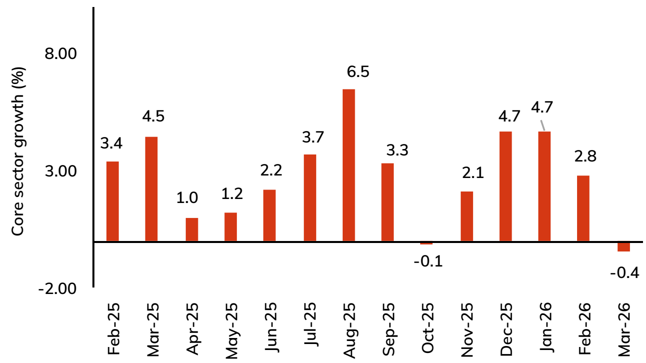


India's industrial production eased to 4.1% on-year in Mar-26 from revised 5.1% in Feb-26

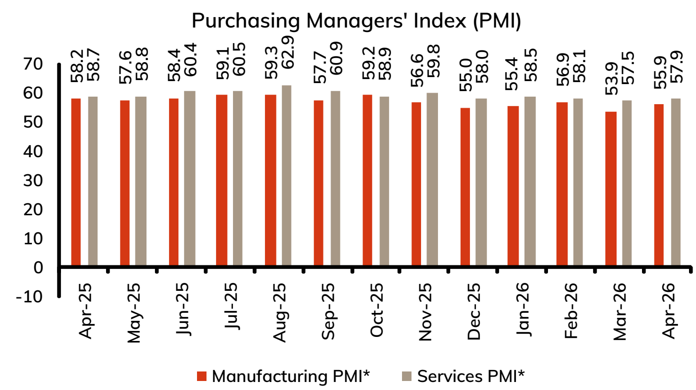


ECONOMIC OVERVIEW

Output of eight core sectors declined 0.4% on-year in Mar-26 vs 2.8% on-year in Feb-26



HSBC India Flash Manufacturing PMI rose to 55.9 in Apr-26 from 53.9 in Mar-26; Flash Services PMI rose to 57.9 from 57.5



*PMI for April is flash vs final

Source: MoSPI, Office of Economic Adviser, S&P Global

Economic indicator heat map

Indicators	Mar-26	Feb-26	Jan-26	Dec-25	Nov-25	Oct-25
Industrial Sector						
Manufacturing PMI	53.9	56.9	55.4	55	56.6	59.2
Infra-core	-0.40%	2.80%	4.70%	4.70%	2.10%	-0.10%
Consumer Economy						
Passenger vehicle sales (thousands)	423.792	423.791	447.809	406.61	412.41	460.90
Two-wheeler sales (thousands)	1976.128	1871.406	1925.603	1541.04	1944.48	2210.73
Tractor sales (thousands)	103.193	78.901	88.522	69.89	927.45	166.145
Domestic air passenger traffic (thousands)	NA	140.7	152.5	143.1	152.4	140.3
Ease of Living						
Consumer Price Index (agricultural labourers)	NA	NA	137	137	137	136
Consumer Confidence Index	95.7	NA	98.1	NA	98.4	NA
Inflation						
CPI inflation (% on-year)	3.40%	3.21%	2.74%	1.33%	0.71%	0.25%
WPI inflation (% on-year)	3.88%	2.13%	1.81%	0.83%	-0.32%	-1.21%
Deficit Statistic						
Total trade balance ($ billion)	-2.44	-3.96	-10.38	-6.92	-6.64	-21.80
Fiscal deficit (Rs billion)	NA	12526.49	9814.07	8558.42	9766.71	8251.44
GST						
GST collections (Rs billion)	2000.64	1836.09	1933.84	1745.5	1702.76	1959.36

Boxes in green denote the best values and red denote the worst values

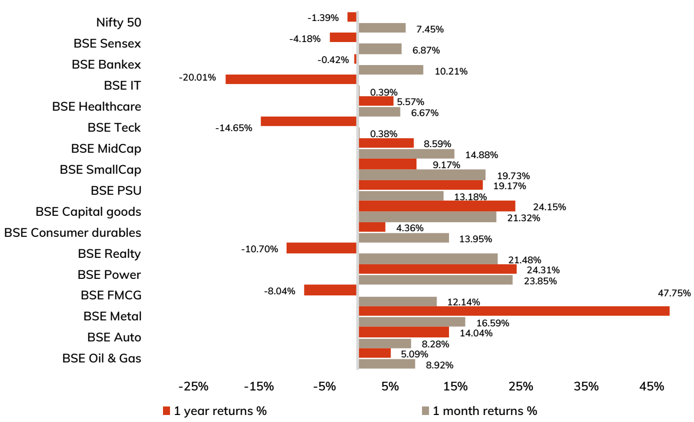
Best Value | Worst Value

Source: RBI, Office of Economic Adviser, Directorate General of Civil Aviation, Crisil Intelligence, financial websites

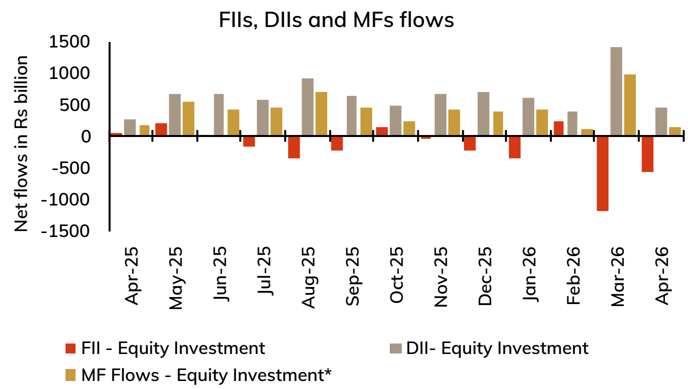
MARKET REVIEW

India Equity Market Performance

Index performance



Institutional flows



*MF data is as on April 24, 2026. Source: NSE, BSE, SEBI, NSDL Depository (as on April 28, 2026

- Indian equities ended Apr-26 positively, benchmark indices closing higher despite volatile trading environment dominated by uncertainties. Apr-26 was characterised by sharp sentiment swings, driven by evolving geopolitical developments and fluctuations in crude oil prices. BSE Sensex crossed settled at 76,914 points in Apr-26, marking a monthly 6.9% gain. Nifty 50 closed at 24,044, reflecting a 7.5% gain.
- Investor sentiment improved intermittently on expectations of de-escalation in geopolitical tensions, helping ease potential supply disruptions concerns and oil-led inflationary pressures. Periodic softness in crude oil prices provided additional relief to markets, supporting risk appetite and enabling recovery from intra-month declines. Optimism surrounding Q4FY26 earnings season further underpinned sentiment, with expectations of resilient corporate performance lending support to valuations.
- Domestic factors also played a stabilising role. Broader macroeconomic backdrop remained constructive, with steady growth expectations and continued policy support cushioning global headwinds impact
- Additionally, sustained FIIs outflows weighed on liquidity and capped upside during several sessions. Global market cues remained mixed, further contributing to cautious investor positioning FIIs sold equities worth Rs 568 billion till April 28 after selling Rs 1,177 billion till March 30, 2026. However, DIIs picked up equities worth Rs 608 billion in Apr-26 vs Rs 1,429 billion in Mar-26, supporting the market.
- However, upward trajectory was neither linear nor broad-based. Escalating tensions in West-Asia at various points triggered risk-off sentiment, leading to intermittent sell-offs. Spikes in crude oil prices renewed concerns over inflation and fiscal pressures, while a volatile rupee added to macro uncertainty.
- In Apr-26, three major sectors demonstrated exceptional performance and posted robust double-digit gains that reflected heightened investor confidence and positive market dynamics. Power led the rally with an impressive 23.85% on-month surge, driven by favourable sector sentiment and growing optimism around energy demand and policy support. Realty climbed 21.48% and capital goods recorded 21.32% gain.

Source: Crisil Intelligence. GDP: Gross Domestic Product, FPI: Foreign Portfolio investors, DII: Domestic Institutional Investors, US: United State

MARKET OUTLOOK

EQUITY MARKET OUTLOOK

Equity Market Outlook

Global Update: The S&P 500 experienced a powerful rally in April 2026, gaining over 10% for the month—its best performance since April 2020—driven by strong AI-related earnings, easing Middle East tensions, and falling oil prices. The index hit record highs after recovering from a previous two-month slump.

In the UK, the FTSE 100 experienced volatility due to rising energy prices and inflationary pressures, but maintained a high level, driven by high global earnings. The index rose 2.0% in the month.

European markets experienced a strong, risk-on rally despite geopolitical turmoil, with the STOXX Europe 600 rising ~4.8%. The surge was driven by renewed confidence, tech sector gains, and eased tensions between the US and Iran.

China's equity markets performed strongly, with the Shanghai Composite Index gaining 5.67% in the month. The rally was driven by strong Q1 earnings, technology sector gains, and robust economic data, sustaining a positive momentum despite regulatory attempts to curb rapid gains.

Japan's Nikkei 225 index experienced a historic rally, with the Nikkei 225 scaling 11.4% over the previous month, despite volatility from yen intervention pressures and rising 10-year JGB yields. The rally was driven by AI-tech stocks and improved corporate governance.

India Update: The Indian equity market declined for the fourth consecutive month as the West Asia conflict stoked a major FPI sell off. FPIs sold Rs. 60,847 crores in Apr 2026 compared to outflow of 1.17 lakh crore in Mar 2026. (Source: NSDL)

Market barometers BSE Sensex and NSE Nifty50 gained 6.9% and 7.5%, respectively, on-month in Apr 2026. Sector-wise, BSE Power (+22.2%), BSE Realty (+21.4%) and BSE Capital Goods (+20.2%) gained the most, whereas, BSE Infotech (+1.7%), BSE Healthcare (+6.8%) and BSE Oil & Gas (+8.3%) were laggards. (Source: BSE)

Our view going forward:

- Indian markets inched higher during the month driven primarily by DII buying momentum and gains in banking & financial sector stocks.
- The West-Asia conflict entered its 3rd month and it seems far from over. This continues to impact global supply chain with energy dependent countries seeking alternative sources.
- This has also impacted Indian rupee significantly as it touched 95.2 against the Dollar. Concerns around Current Account Deficit remain high as crude prices touched 108 USD/Barrel during the month.
- Structurally though, macros appear resilient – Fiscal Deficit is under control, demand environment is robust, rupee depreciation provides a boost to service exports which can cushion India's trade balance from supply side shocks.
- As per latest data release by the IMF, India's 2026 real GDP growth is projected at 6.5% in 2026 which continues to be high compared to major economies despite of on-going West-Asia conflict.
- Currently, equity valuations continue to remain in neutral zone. Given the uncertainty around conclusion of the conflict, we continue recommending investing in equities in a staggered manner through SIP/STP in schemes that have the flexibility to maneuver across sectors / market cap.
- Since market volatility may persist in the near term, we also continue to recommend investing in Hybrid / Asset Allocation schemes.

U.S. – United States of America; US Fed: Federal Reserve of US; FY: Financial year. FI – Foreign Portfolio Investor. AI – Artificial Intelligence.

Our Recommendations

Market is expected to remain volatile due to various macro situations.
Hence we recommend schemes with flexibility to invest across Asset Classes, Market Cap & Sectors/ themes

Asset Allocation Flexibility	Flexibility across Marketcap/Sector/ Theme
1. ICICI Prudential Equity & Debt Fund 2. ICICI Prudential Multi-Asset Fund 3. ICICI Prudential Balanced Advantage Fund 4. ICICI Prudential Dynamic Asset Allocation Active FOF (Erstwhile ICICI Prudential Asset Allocator Fund (FOF)) 5. ICICI Prudential Aggressive Hybrid Active FOF (Erstwhile ICICI Prudential Thematic Advantage Fund (FOF))	1. ICICI Prudential Business Cycle Fund 2. ICICI Prudential Flexicap Fund 3. ICICI Prudential India Opportunities Fund 4. ICICI Prudential Diversified Equity All Cap Active FoF

SIP/STP Strategy

Continue SIP/STP as the long term structural story of India remains intact, strongly recommend ICICI Prudential Booster STP#

Recommended Schemes

1. ICICI Prudential Value Fund (erstwhile ICICI Prudential Value Discovery Fund)
2. ICICI Prudential Large & Mid Cap Fund
3. ICICI Prudential Multicap Fund
4. ICICI Prudential Focused Equity Fund

#ICICI Prudential Booster Systematic Transfer Plan (STP) is a facility where in unitholder(s) can opt to transfer variable amount(s) from designated open ended Scheme(s) of ICICI Prudential Mutual Fund to the designated open ended Scheme(s) of ICICI Prudential Mutual Fund. This feature does not in any way give assurance of the performance of any of the Schemes of ICICI Prudential Mutual Fund or provide any guarantee of returns through Transfer plans. Booster STP allows Investors to transfer the amount to Target Scheme basis the EVI calculated and corresponding Trigger Value to the same. Please read the terms & conditions in the application form before investing or visit www.icicipruamc.com

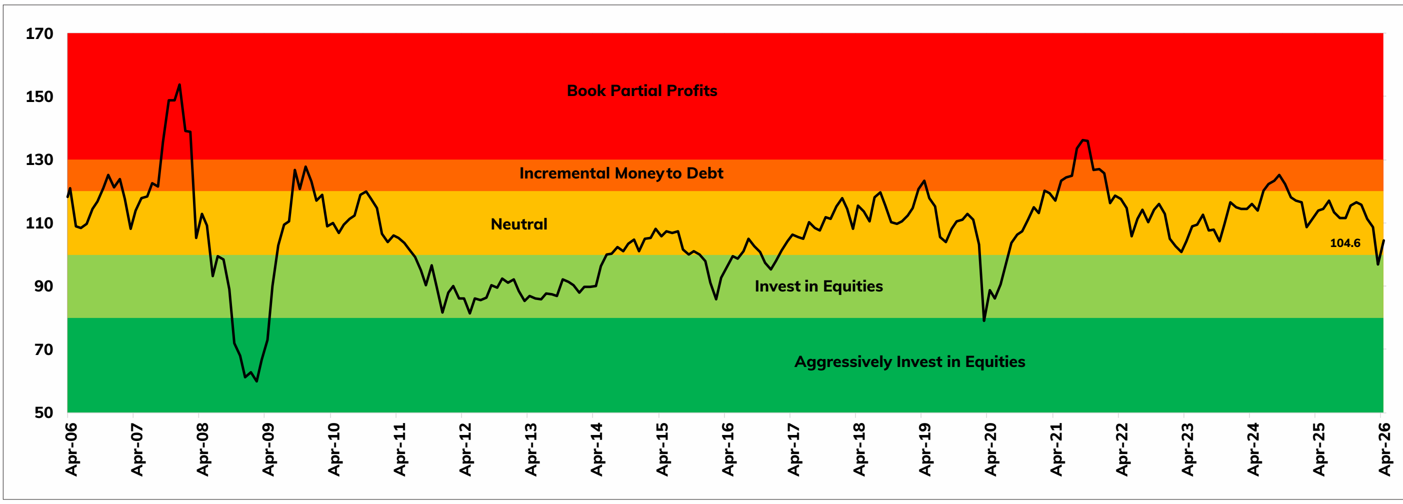
None of the aforesaid recommendations are based on any assumptions. These are purely for reference and the investors are requested to consult their financial advisors before investing.

MARKET OUTLOOK

EQUITY MARKET OUTLOOK

Equity Market Outlook and Valuation Index

Equity Valuation Index



Data as on April 30, 2026 has been considered. Equity Valuation Index (EVI) is a proprietary model of ICICI Prudential AMC Ltd. (the AMC) used for assessing overall equity market valuations. The AMC may also use this model for other facilities/features offered by the AMC. Equity Valuation index is calculated by assigning equal weights to Price-to-Earnings (PE), Price-to-Book (PB), G-Sec*PE and Market Cap to GDP ratio and any other factor which the AMC may add / delete from time to time. G-Sec – Government Securities. GDP – Gross Domestic Product.

Return Analysis Table of EVI

1 Year Return Profile - Nifty 50 TRI					
Particular	Dark Green (EVI<80)	Green (80<EVI>100	Amber (100<EVI<120	Red (120<EVI<130)	Deep Red (EVI>130)
Count	9	58	138	27	9
Median Returns	79.7%	20.6%	11.6%	7.5%	-45.3%
Max	93.4%	64.3%	60.0%	55.1%	6.6%
Min	56.5%	-5.8%	-36.4%	-24.1%	-55.2%
No of Observations					
Negative Returns	0	1	29	8	7
0-5% Returns	0	4	14	3	1
5-10% Returns	0	6	22	4	1
10-15% Returns	0	7	21	1	0
>15% Return	9	40	52	11	0
% of Observations					
Negative Returns	0%	2%	21%	30%	78%
0-5% Returns	0%	7%	10%	11%	11%
5-10% Returns	0%	10%	16%	15%	11%
10-15% Returns	0%	12%	15%	4%	0%
>15% Return	100%	69%	38%	41%	0%

Source: MFI Explorer. Returns are calculated on CAGR basis. Above analysis is done considering the investment period between April 2005 and April 2026.

The returns are calculated for the period between April 2006 and April 2026. EVI: Equity Valuation Index. Equity Valuation index is calculated by assigning equal weights to Price-to-Earnings (PE), Price to-Book (PB), G-Sec * PE and Market Cap to GDP ratio. G-Sec – Government Securities. GDP – Gross Domestic Product.
Past performance may or may not sustain in future.

Steps to read the above table

1. 1Yr Monthly Rolling returns of Nifty 50 TRI is extracted for the above period
2. The returns are then classified into different intervals depending on the bands of EVI (eg, EVI < 80)
3. Returns in the interval are selected on basis of investment period falling in the range of EVI (for Dark Green zone, returns are selected of investment made when EVI was < 80)
4. Median Returns are used as the median is a better measure of the central tendency of the group as it is not skewed by exceptionally high or low characteristic values

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